

1. EXECUTIVE SUMMARY SNAPSHOT

The Company is a leading provider of integrated cold chain solutions in India, offering temperature-controlled warehousing, specialized distribution, and value-added services. It operates 41 warehouses across 20 cities with a capacity of 1,41,197 pallets, catering to frozen, chilled, and dry goods. Its fleet of 600+ specialized vehicles ensures nationwide distribution for sectors including pharmaceuticals, food, and industrial goods. In addition to core warehousing and distribution, the Company provides services such as blast freezing, repacking, labelling, and inventory management. Through its Fifth Party Logistics model, it also engages in trading goods, acquiring customer products for resale to end consumers, thereby complementing its end-to-end cold chain ecosystem.

METRIC	VALUE
Market Price (As on 31.03.2025)	₹ 44.76 /share
Shares Outstanding	16.71 Crs
Market Capitalisation	₹ 4.20 Crs
52-Week Range	₹ 43 - ₹ 91.65
FY 2025 Revenue	₹ 553 Crs
FY 2025 EBIT	₹ 27 Crs
FY 2025 Net Profit	₹ 6 Crs
EPS	₹ 0.34
P/E	131.38x
EV/EBITDA	14.65x

2. FIVE YEAR REVENUE PROJECTION:

The Company is expected to witness healthy growth over the next five years, driven by expansion of its cold chain network, increased utilization of existing warehouses, and higher adoption of value-added services across pharmaceuticals, food, and industrial sectors. Revenue growth is projected to taper gradually as the Company achieves scale in its core operation.

Metric (₹ Cr)	Mar-25A	Mar-26E	Mar-27E	Mar-28E	Mar-29E	Mar-30E
Revenue	553.00	601.64	663.71	750.9	849.24	960.9
YoY Growth %	-	8.80%	10.32%	13.14%	13.10%	13.15%
EBIT	26.76	34.24	33.64	33.24	32.05	34.36
EBIT % Change	-	27.95%	-1.75%	-1.18%	-3.59%	7.22%
EBITDA	89.76	99.285	103.41	111.79	120.16	128.48
EBITDA % Change	-	10.61%	4.16%	8.11%	7.48%	6.92%

3. FREE CASH FLOW BUILD – FY26E to FY30E

Calculation of PV of FCFF – In Rs. Crores

Particulars	Mar-26E	Mar-27E	Mar-28E	Mar-29E	Mar-30E
Net profit before Tax	0.94	(6.22)	(13.79)	(15.20)	(13.16)
<u>Adj for Non cash & Non operating items</u>					
Depreciation	65.05	69.77	78.55	88.11	94.11
Interest expense	33.30	39.86	47.04	47.25	47.52
Changes in Workings capital	(14.94)	(12.17)	(15.63)	(17.66)	(20.07)
Provisions - write offs and write backs (net)	1.50	1.50	1.50	1.50	1.50
Tax expense	(0.33)	-	-	-	-
Capital Expenditure	(125.16)	(125.00)	(125.00)	(8.00)	(8.00)
Cashflow to Firm	(39.64)	(32.26)	(27.33)	96.00	101.90
Discount rate factor	0.9596	0.8838	0.8139	0.7495	0.6902
PV of Cashflows	(38.04)	(28.51)	(22.24)	71.95	70.34

Terminal Value

Growth rate	6.57%
Terminal value	5,058.64
PV of Terminal Value	3,491.69

Value of the Company

Value of the Company – In Crs	3,545.18
Value of Equity – In Crs	3,181.18
No of shares	16,70,87,995
Value per share	Rs. 190.39 /Share

4. WEIGHTED AVERAGE COST OF CAPITAL (WACC)

Component	Value	Notes
Risk Free Rate	4.40%	Derived from India 10-Year Government Bond yield (6.58%) adjusted for sovereign default premium (2.18%)
Equity Risk Premium	7.26%	Market risk premium applicable to Indian equities
Beta (β)	0.85	Reflects moderate systematic risk relative to the market
Cost of Equity	7.01%	CAPM: $R_f + \beta \times ERP$

Component	Value	Notes
Bond Rating	IND A+ (or BBB- to BBB)	Based on interest coverage profile
Interest Coverage Ratio (Avg.)	3.94x	EBIT / Interest Expense
Corresponding Spread	0.00%	Since Credit spread for the rating category will be included in the Average interest rate
Average Interest Rate	7.90%	Base borrowing rate
Tax rate	25.00%	
Cost of debt	5.93%	

Debt %	42.97%	Equity %	57.03%
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Cost of capital - 8.59%

5. TERMINAL VALUE ASSUMPTION - EXPECTED GROWTH RATE

The terminal growth rate is estimated using the sustainable growth framework, which links reinvestment rate and return on invested capital (ROIC). Historical reinvestment behaviour and capital productivity are analysed to determine a stable long-term growth rate.

Expected Growth rate - Terminal value					
Particulars	2025	2024	2023	2022	2021
Net Capex	87.08	34.88	14.84	96.34	29.61
Change in WC	17.93	10.86	9.24	3.27	3.29
EBIT(1-t)	22.84	36.78	32.79	16.84	14.62
Reinvestment rate	459.85%	124.33%	73.43%	591.64%	225.04%
Return on capital	3.20%	5.29%	4.82%	2.45%	2.28%
Expected Growth rate	14.71%	6.57%	3.54%	14.49%	5.14%
Median	6.57%				

6. COMPARABLE COMPANY ANALYSIS

To benchmark valuation, the Company is compared against listed Indian logistics and supply chain companies operating in freight, express logistics, integrated supply chain, and cold chain infrastructure.

S. No	Company	PE Ratio	EV / EBIT	EV/EBITDA	Market Cap (in Crs)
1	Container Corporation of India	32.70	28.78	22.07	41,944.30
2	Delhivery Limited	117.33	-	228.30	19,394.91
3	Blue Dart Express Limited	57.75	37.97	24.67	14,626.90
4	Transport Corporation of India	20.48	23.32	17.95	8,344.61
5	TVS Supply Chain Solutions Limited	-	49.28	26.65	4,961.60
6	VRL Logistics Limited	22.63	15.48	12.05	4,056.40
7	Mahindra Logistics Limited	-	46.41	20.58	2,394.43
Peer Average		91.99	31.98	81.48	

EPS in Rs.	0.34
EBIT in Rs. Crores	26.76
EBITDA In Rs. Crores	89.76

Value as per PE Mul.	₹ 16.89 / Share
Value as per EV/EBITDA	₹ 342.03 / Share
Value as per EV/EBIT	₹ 39.75 / Share

7. KEY ASSUMPTIONS & MODEL RISKS

The valuation model relies on several operating and financial assumptions derived from historical performance, management commentary, and industry trends. The following table summarises the primary modelling assumptions used in projecting the financial statements and cash flows.

Area	Assumption Taken	Remarks
Revenue - Warehousing	The revenue is driven by the number of pallets handled. The company is currently in an expansion phase. The 3-year average revenue per pallet handled has been taken for projections.	The company is targeting pallet capacity of 2,00,000 pallets handled , which has been incorporated in the projections. (Source: Investor Conference Call Transcript – Q1 FY25-26)
Revenue - Transportation	Past 5-year average growth rate of 6% has been assumed for revenue projections.	The growth rate is expected to continue in the future years. (Source: Investor Conference Call Transcript – Q1 FY24-25)
Revenue - Trading & Distribution	This is a segment where the 5PL model has been introduced . A 3-year average growth rate of 20% has been assumed.	The growth rate is expected to continue in future years. (Source: Investor Conference Call Transcript – Q1 FY24-25)
Raw Material and Change in Inventory Cost	Modelled as percentage of Trading & Distribution revenue .	Reflects cost structure associated with trading operations.
Operational Costs	Projected as percentage of total revenue .	Assumes operational efficiency improves gradually with scale.
PPE and CWIP	2-year construction period assumed for capital expenditure projects with gradual transfer from CWIP to PPE . Vehicle fleet is not assumed to increase.	1. Additional 5–6 facilities expected to become operational in the next three years . (Source: Investor Conference Call Transcript – Q1 FY25-26) 2. Go towards the third-party vehicles and then we will maintain our fleet almost approximately to the numbers we have today. (Source: Investor Conference Call Transcript – Q3 FY25-26)
RoU Assets and Lease Liability	Projected in line with expected increase in revenue and operating capacity.	Reflects expansion in warehousing infrastructure and leased facilities.

Area	Assumption Taken	Remarks
Borrowings	Capex of ₹125 Cr, with ₹100 Cr financed through debt , assumed to be drawn over 3 years . Borrowing repayment schedule prepared for debt servicing. Average interest rate used for finance cost estimation.	The company intends to spend approximately ₹100–150 Cr per year , funded ~80% through debt and the remainder through internal accruals . (Source: Investor Conference Call Transcript – Q1 FY25-26)
Trade Payables, Trade Receivables and Inventory	Projected based on historical turnover ratios .	Ensures consistency with historical working capital cycles.

Notes:

- The contingent liabilities disclosed in the financial statements have been assumed as not settled due to the absence of further information.
- The **forecasted 3-statement model (3SM)** is included in the final section of this document for reference.

8. Conclusion

The valuation outcomes indicate a wide range, with the DCF approach implying INR 190.39 per share and market multiples reflecting lower values. Given the company's expansion phase and the resulting distortion in current earnings, greater reliance has been placed on the forward-looking DCF methodology (60%), supplemented by EV/EBIT (20%), P/E (10%), and EV/EBITDA (10%), with lower weight assigned to the latter due to its tendency to overstate value in capital-intensive businesses.

On a weighted basis, the fair value of the company's equity is estimated at approximately INR 158 per share. Compared to the current market price of INR 44 per share, the stock appears significantly undervalued, likely reflecting the market's focus on near-term earnings, execution risks, and high capital intensity, as opposed to the company's long-term growth potential.

Disclaimer

This valuation model has been prepared for **educational purposes only**, based on publicly available information and assumptions made for the purpose of this analysis. The forecasts and valuation inputs are illustrative and may differ from actual future performance. This analysis should not be considered investment advice or a recommendation to buy or sell Snowman Logistics shares.

Forecasted 3 Statement Model - Apr'2026 to Mar'2030

Income Statement - Figures in INR Crores

Particulars	Mar-26E	Mar-27E	Mar-28E	Mar-29E	Mar-30E
Revenue	601.64	663.71	750.90	849.24	960.90
Direct Cost	440.18	491.70	561.50	641.32	733.11
Other cost	62.18	68.60	77.61	87.77	99.31
Gross Profit	99.28	103.41	111.79	120.16	128.48
Depreciation	65.05	69.77	78.55	88.11	94.11
Operating Profit	34.24	33.64	33.24	32.05	34.36
Interest	33.30	39.86	47.04	47.25	47.52
Earnings Before Tax	0.94	-6.22	-13.79	-15.20	-13.16
Taxes (34.94%)	0.33	-	-	-	-
Net Income	0.61	-6.22	-13.79	-15.20	-13.16

Balance Sheet - Figures in INR Crores

Particulars	Mar-26E	Mar-27E	Mar-28E	Mar-29E	Mar-30E
Equity & Liabilities					
Equity Share capital	167.00	167.00	167.00	167.00	167.00
Reserves & Surplus	240.61	234.39	220.60	205.39	192.23
	407.61	401.39	387.60	372.39	359.23
NC Liabilities					
Borrowings	202.16	279.66	347.87	320.90	286.57
Revolver	4.92	8.22	23.82	12.40	3.75
Lease liability	191.23	208.00	227.33	249.52	274.96
Gratuity Provision	6.21	6.85	7.75	8.76	9.92
	404.52	502.72	606.77	591.58	575.18
Current Liabilities					
Trade Payables & Others	48.81	54.53	62.27	71.12	81.30
Other liabilities	11.86	11.86	11.86	11.86	11.86
Advance from Customers	1.18	1.30	1.47	1.67	1.89
	61.85	67.69	75.60	84.65	95.04
Total Equity & Liabilities	873.98	971.80	1,069.96	1,048.62	1,029.46
Assets					
Property, Plant & Equipment	391.65	403.43	468.03	528.44	523.99
Right of use Assets	143.58	151.96	162.59	175.62	191.28
CWIP	121.00	181.50	181.50	60.50	-
Other assets	96.48	99.47	103.29	107.62	112.54
Capital advance	-	-	-	-	-
	752.70	836.36	915.41	872.18	827.81
Inventories	18.91	22.69	27.23	32.68	39.21
Cash and cash equivalents	-	-	-	-	-
Other Bank balances	1.79	1.79	1.79	1.79	1.79
Trade receivables	100.59	110.97	125.55	141.99	160.66
	121.29	135.45	154.57	176.46	201.66
Total Assets	874.00	971.81	1,069.98	1,048.63	1,029.47

Cashflow Statement - Figures in INR Crores

Particulars	Mar-26E	Mar-27E	Mar-28E	Mar-29E	Mar-30E
Net profit before Tax	0.94	(6.22)	(13.79)	(15.20)	(13.16)
Adj for Non cash & Non operating items					
Depreciation	65.05	69.77	78.55	88.11	94.11
Interest expense	33.30	39.86	47.04	47.25	47.52
Provisions - write offs and write backs (n	1.50	1.50	1.50	1.50	1.50
Changes in Workings capital	(14.94)	(12.17)	(15.63)	(17.66)	(20.07)
Tax expense	(0.33)	-	-	-	-
Cashflow from Operations	85.52	92.74	97.67	104.00	109.90
Capital Expenditure	(125.16)	(125.00)	(125.00)	(8.00)	(8.00)
Disposal of Assets					
Cashflow from Investing activity	(125.16)	(125.00)	(125.00)	(8.00)	(8.00)
Borrowings (Repaid)/Availed	71.61	77.50	68.21	(26.97)	(34.34)
Interest paid	(16.41)	(21.51)	(27.02)	(25.33)	(23.41)
Lease payments	(24.87)	(27.03)	(29.47)	(32.28)	(35.50)
Revolver	4.92	3.30	15.61	(11.43)	(8.65)
Cash flow from Financing activity	35.25	32.26	27.33	(96.00)	(101.90)
Net change during the year	(4.39)	-	-	-	-
Opening Cash & Cash Equivalents	4.39	-	-	-	-
Closing Cash & Cash Equivalents	-	-	-	-	-